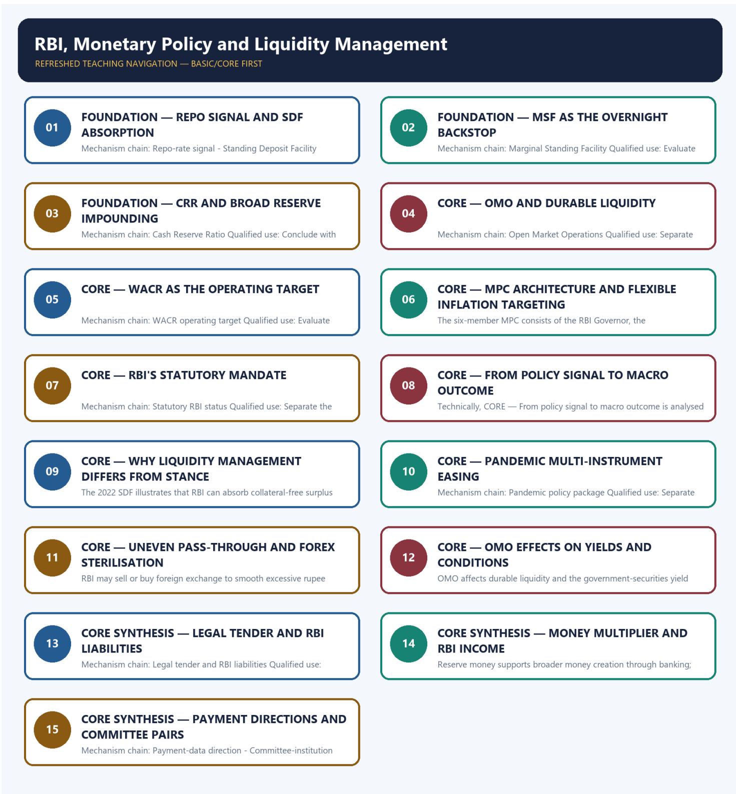
SOLVED PRACTICE WORKBOOK

RBI, Monetary Policy and Liquidity Management - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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RBI, Monetary Policy and Liquidity Management - Solved Practice Workbook

BASIC MCQS / REMEDIATION

Q1. Which statement correctly identifies Repo-rate signal?

A. The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. B. CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. C. The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. D. MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations.

Answer: A. Explanation: The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q2. Which option preserves the accounting or regulatory boundary of Repo-rate signal?

A. CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. B. The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. C. OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. D. MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations.

Answer: B. Explanation: The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q3. Which statement uses Repo-rate signal without losing its vintage, basket or legal status?

A. CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. B. OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. C. The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. D. The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct.

Answer: C. Explanation: The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q4. Which option avoids the standard UPSC close-option trap about Repo-rate signal?

A. OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. B. The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. C. The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. D. The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection.

Answer: D. Explanation: The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q5. Which statement correctly identifies Standing Deposit Facility?

A. The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. B. CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. C. MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. D. OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions.

Answer: A. Explanation: The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q6. Which option preserves the accounting or regulatory boundary of Standing Deposit Facility?

A. OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. B. The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. C. The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. D. CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds.

Answer: B. Explanation: The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q7. Which statement uses Standing Deposit Facility without losing its vintage, basket or legal status?

A. The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. B. OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. C. The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. D. The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate.

Answer: C. Explanation: The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q8. Which option avoids the standard UPSC close-option trap about Standing Deposit Facility?

A. The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. B. The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. C. India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. D. The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022.

Answer: D. Explanation: The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q9. Which statement correctly identifies Marginal Standing Facility?

A. MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. B. CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. C. The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. D. OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions.

Answer: A. Explanation: MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q10. Which option preserves the accounting or regulatory boundary of Marginal Standing Facility?

A. The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. B. MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. C. The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. D. OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions.

Answer: B. Explanation: MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q11. Which statement uses Marginal Standing Facility without losing its vintage, basket or legal status?

A. The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. B. The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. C. MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. D. India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth.

Answer: C. Explanation: MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q12. Which option avoids the standard UPSC close-option trap about Marginal Standing Facility?

A. The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. B. India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. C. RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. D. MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations.

Answer: D. Explanation: MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q13. Which statement correctly identifies Cash Reserve Ratio?

A. CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. B. OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. C. The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. D. The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate.

Answer: A. Explanation: CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q14. Which option preserves the accounting or regulatory boundary of Cash Reserve Ratio?

A. The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. B. CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. C. India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. D. The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct.

Answer: B. Explanation: CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q15. Which statement uses Cash Reserve Ratio without losing its vintage, basket or legal status?

A. RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. B. India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. C. CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. D. The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate.

Answer: C. Explanation: CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q16. Which option avoids the standard UPSC close-option trap about Cash Reserve Ratio?

A. MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. B. India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. C. RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. D. CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds.

Answer: D. Explanation: CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q17. Which statement correctly identifies Open Market Operations?

A. OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. B. India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. C. The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. D. The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct.

Answer: A. Explanation: OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q18. Which option preserves the accounting or regulatory boundary of Open Market Operations?

A. RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. B. OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. C. India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. D. The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate.

Answer: B. Explanation: OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q19. Which statement uses Open Market Operations without losing its vintage, basket or legal status?

A. RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. B. MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. C. OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. D. India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth.

Answer: C. Explanation: OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q20. Which option avoids the standard UPSC close-option trap about Open Market Operations?

A. The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. B. MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. C. RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. D. OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions.

Answer: D. Explanation: OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q21. Which statement correctly identifies WACR operating target?

A. The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. B. India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. C. RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. D. The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate.

Answer: A. Explanation: The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q22. Which option preserves the accounting or regulatory boundary of WACR operating target?

A. MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. B. The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. C. RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. D. India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth.

Answer: B. Explanation: The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q23. Which statement uses WACR operating target without losing its vintage, basket or legal status?

A. The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. B. RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. C. The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. D. MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags.

Answer: C. Explanation: The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q24. Which option avoids the standard UPSC close-option trap about WACR operating target?

A. During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. B. The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. C. MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. D. The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct.

Answer: D. Explanation: The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q25. Which statement correctly identifies Monetary Policy Committee?

A. The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. B. MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. C. RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. D. India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth.

Answer: A. Explanation: The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q26. Which option preserves the accounting or regulatory boundary of Monetary Policy Committee?

A. RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. B. The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. C. The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. D. MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags.

Answer: B. Explanation: The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q27. Which statement uses Monetary Policy Committee without losing its vintage, basket or legal status?

A. MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. B. During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. C. The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. D. The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance.

Answer: C. Explanation: The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q28. Which option avoids the standard UPSC close-option trap about Monetary Policy Committee?

A. During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. B. The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. C. Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. D. The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate.

Answer: D. Explanation: The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q29. Which statement correctly identifies Flexible inflation targeting?

A. India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. B. The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. C. RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. D. MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags.

Answer: A. Explanation: India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q30. Which option preserves the accounting or regulatory boundary of Flexible inflation targeting?

A. During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. B. India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. C. The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. D. MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags.

Answer: B. Explanation: India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q31. Which statement uses Flexible inflation targeting without losing its vintage, basket or legal status?

A. The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. B. During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. C. India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. D. Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ.

Answer: C. Explanation: India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q32. Which option avoids the standard UPSC close-option trap about Flexible inflation targeting?

A. During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. B. Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. C. RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. D. India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth.

Answer: D. Explanation: India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q33. Which statement correctly identifies Statutory RBI status?

A. RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. B. During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. C. The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. D. MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags.

Answer: A. Explanation: RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q34. Which option preserves the accounting or regulatory boundary of Statutory RBI status?

A. During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. B. RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. C. The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. D. Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ.

Answer: B. Explanation: RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q35. Which statement uses Statutory RBI status without losing its vintage, basket or legal status?

A. RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. B. During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. C. RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. D. Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ.

Answer: C. Explanation: RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q36. Which option avoids the standard UPSC close-option trap about Statutory RBI status?

A. Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. B. RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. C. OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. D. RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions.

Answer: D. Explanation: RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q37. Which statement correctly identifies Transmission chain?

A. MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. B. During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. C. The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. D. Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ.

Answer: A. Explanation: MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q38. Which option preserves the accounting or regulatory boundary of Transmission chain?

A. RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. B. MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. C. Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. D. During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone.

Answer: B. Explanation: MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q39. Which statement uses Transmission chain without losing its vintage, basket or legal status?

A. OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. B. RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. C. MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. D. Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ.

Answer: C. Explanation: MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q40. Which option avoids the standard UPSC close-option trap about Transmission chain?

A. Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. B. OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. C. RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. D. MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags.

Answer: D. Explanation: MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q41. Which statement correctly identifies SDF-liquidity distinction?

A. The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. B. Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. C. During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. D. RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise.

Answer: A. Explanation: The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q42. Which option preserves the accounting or regulatory boundary of SDF-liquidity distinction?

A. OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. B. The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. C. Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. D. RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise.

Answer: B. Explanation: The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q43. Which statement uses SDF-liquidity distinction without losing its vintage, basket or legal status?

A. OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. B. Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. C. The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. D. RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise.

Answer: C. Explanation: The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q44. Which option avoids the standard UPSC close-option trap about SDF-liquidity distinction?

A. Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier. B. OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. C. Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. D. The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance.

Answer: D. Explanation: The 2022 SDF illustrates that RBI can absorb collateral-free surplus liquidity to align overnight rates without necessarily changing the repo-rate stance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q45. Which statement correctly identifies Pandemic policy package?

A. During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. B. OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. C. Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. D. RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise.

Answer: A. Explanation: During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q46. Which option preserves the accounting or regulatory boundary of Pandemic policy package?

A. RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. B. During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. C. OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. D. Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income.

Answer: B. Explanation: During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q47. Which statement uses Pandemic policy package without losing its vintage, basket or legal status?

A. OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. B. Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. C. During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. D. Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier.

Answer: C. Explanation: During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather

than a repo cut alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q48. Which option avoids the standard UPSC close-option trap about Pandemic policy package?

A. Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier. B. Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. C. RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. D. During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone.

Answer: D. Explanation: During the pandemic RBI combined repo reductions with CRR easing, OMOs and targeted longer-term liquidity operations, showing that expansionary policy is an instrument package rather than a repo cut alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q49. Which statement correctly identifies Uneven pass-through?

A. Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. B. OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. C. Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. D. RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise.

Answer: A. Explanation: Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q50. Which option preserves the accounting or regulatory boundary of Uneven pass-through?

A. Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier. B. Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. C. Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. D. OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance.

Answer: B. Explanation: Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q51. Which statement uses Uneven pass-through without losing its vintage, basket or legal status?

A. Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. B. RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. C. Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. D. Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier.

Answer: C. Explanation: Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q52. Which option avoids the standard UPSC close-option trap about Uneven pass-through?

A. RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. B. RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. C. Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier. D. Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ.

Answer: D. Explanation: Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q53. Which statement correctly identifies Forex intervention and sterilisation?

A. RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. B. Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier. C. OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. D. Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income.

Answer: A. Explanation: RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q54. Which option preserves the accounting or regulatory boundary of Forex intervention and sterilisation?

A. Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier. B. RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. C. RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. D. Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income.

Answer: B. Explanation: RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q55. Which statement uses Forex intervention and sterilisation without losing its vintage, basket or legal status?

A. RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. B. Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier. C. RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. D. RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law.

Answer: C. Explanation: RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q56. Which option avoids the standard UPSC close-option trap about Forex intervention and sterilisation?

A. RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. B. RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. C. The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. D. RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise.

Answer: D. Explanation: RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q57. Which statement correctly identifies OMO and yield conditions?

A. OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. B. RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. C. Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. D. Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier.

Answer: A. Explanation: OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q58. Which option preserves the accounting or regulatory boundary of OMO and yield conditions?

A. Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier. B. OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. C. RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. D. RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions.

Answer: B. Explanation: OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q59. Which statement uses OMO and yield conditions without losing its vintage, basket or legal status?

A. RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. B. RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. C. OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. D. The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility.

Answer: C. Explanation: OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q60. Which option avoids the standard UPSC close-option trap about OMO and yield conditions?

A. RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. B. The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. C. The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. D. OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance.

Answer: D. Explanation: OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q61. Which statement correctly identifies Legal tender and RBI liabilities?

A. Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. B. Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier. C. RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. D. RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law.

Answer: A. Explanation: Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q62. Which option preserves the accounting or regulatory boundary of Legal tender and RBI liabilities?

A. RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. B. Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. C. RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. D. The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility.

Answer: B. Explanation: Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q63. Which statement uses Legal tender and RBI liabilities without losing its vintage, basket or legal status?

A. The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. B. RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. C. Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. D. The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility.

Answer: C. Explanation: Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q64. Which option avoids the standard UPSC close-option trap about Legal tender and RBI liabilities?

A. The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. B. The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. C. The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. D. Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income.

Answer: D. Explanation: Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q65. Which statement correctly identifies Money multiplier?

A. Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier. B. RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. C. The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. D. RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions.

Answer: A. Explanation: Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier. The

other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q66. Which option preserves the accounting or regulatory boundary of Money multiplier?

A. RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. B. Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier. C. The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. D. The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility.

Answer: B. Explanation: Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q67. Which statement uses Money multiplier without losing its vintage, basket or legal status?

A. The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. B. The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. C. Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier. D. The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility.

Answer: C. Explanation: Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q68. Which option avoids the standard UPSC close-option trap about Money multiplier?

A. MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. B. The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. C. The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. D. Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier.

Answer: D. Explanation: Reserve money supports broader money creation through banking; lower reserve impounding and currency leakage and greater willingness to lend generally raise the money multiplier. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q69. Which statement correctly identifies RBI income sources?

A. RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. B. The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. C. The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. D. RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law.

Answer: A. Explanation: RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q70. Which option preserves the accounting or regulatory boundary of RBI income sources?

A. The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. B. RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. C. The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. D. The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility.

Answer: B. Explanation: RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q71. Which statement uses RBI income sources without losing its vintage, basket or legal status?

A. The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. B. MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. C. RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. D. The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022.

Answer: C. Explanation: RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q72. Which option avoids the standard UPSC close-option trap about RBI income sources?

A. MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. B. The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. C. CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. D. RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions.

Answer: D. Explanation: RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q73. Which statement correctly identifies Payment-data direction?

A. RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. B. The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. C. The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. D. The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection.

Answer: A. Explanation: RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q74. Which option preserves the accounting or regulatory boundary of Payment-data direction?

A. The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. B. RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. C. The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. D. MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations.

Answer: B. Explanation: RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q75. Which statement uses Payment-data direction without losing its vintage, basket or legal status?

A. The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. B. CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. C. RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. D. MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations.

Answer: C. Explanation: RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q76. Which option avoids the standard UPSC close-option trap about Payment-data direction?

A. CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. B. MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. C. OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. D. RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law.

Answer: D. Explanation: RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q77. Which statement correctly identifies Committee-institution pairs?

A. The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. B. The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. C. The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. D. MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations.

Answer: A. Explanation: The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q78. Which option preserves the accounting or regulatory boundary of Committee-institution pairs?

A. The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. B. The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. C. CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. D. MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations.

Answer: B. Explanation: The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q79. Which statement uses Committee-institution pairs without losing its vintage, basket or legal status?

A. CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. B. OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. C. The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. D. MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations.

Answer: C. Explanation: The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q80. Which option avoids the standard UPSC close-option trap about Committee-institution pairs?

A. CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. B. OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. C. The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. D. The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility.

Answer: D. Explanation: The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

PYQS AND ANSWER PRACTICE

VERIFIED OBJECTIVE-ONLY PYQ OWNERSHIP AUDIT

This Basic owner carries audited objective routes on legal tender, rupee management, payment-data storage, the money multiplier, expansionary instruments, RBI status, lender of last resort, interest-rate hikes, sterilisation, RBI income and reform committees. No routed Mains demand is manufactured and no unavailable or provisional objective answer is inferred.

OWNER PYQ LEDGER EXTRACTS

9. PYQ application

- ANALYSIS: 2025 Prelims tested RBI income sources: government securities and foreign-currency

operations.

- ANALYSIS: 2024 Prelims tested that NBFCs do not broadly enjoy direct LAF access.
- FACT: **2026 Prelims Q2 (official provisional key):** tested why the

Hilton-Young Commission's fixed rupee-sterling rate aided British remittances and India's creditworthiness. This is monetary history, not an MPC instrument. Exact route: `../README.md`.

2026 PYQ Integration

> **Status:** 2026 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-PRELIMS-2026.md`. **Answer-key rule:** The 2026 Prelims and CSAT Set-A keys held locally are **provisional**; no option or answer is recorded or inferred in this integration.

- **Year represented:** 2026
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 1

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2026	Prelims GS-I	98	Indian financial-sector reform committees and their institutional sponsors	Objective question; provisional 2026 Set-A key present locally, answer not inferred	Provisional 2026 Set-A key present locally (`Ans-2026-GS1-Provisional`); key is provisional - no answer letter recorded or inferred here	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Indian financial-sector reform committees and their institutional sponsors

> This block integrates the 2026 examinable demand and paper metadata. It is kept separate from the 2018-2023 and 2024-2025 blocks and does not convert a provisionally-keyed, answer-free objective question into a solved answer.

Recent PYQ Integration (2024-2025)

> **Status:** 2024-2025 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-PRELIMS-2024-2025.md`. **Answer-key rule:** The official 2024-2025 Prelims Set-A keys are present in the repository and CSAT Set-A keys are supplied; even so, no option or answer is recorded or inferred in this integration.

- **Years represented:** 2025
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 1

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2025	Prelims GS-I	2	Sources of income of the Reserve Bank of India	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Sources of income of the Reserve Bank of India

> This block integrates the 2024-2025 examinable demand and paper metadata. It is kept separate from the 2018-2023 block and does not convert an unkeyed/answer-free objective question into a solved answer.

Historical PYQ Integration (2018-2023)

> **Status:** Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-PRELIMS-2018-2023.md`. **Answer-key rule:** The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2018, 2019, 2020, 2021, 2022, 2023
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 12

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2018	Prelims GS-I	46	Legal tender money definition and characteristics	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	86	Government and RBI measures to prevent rupee depreciation	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	87	RBI payment data storage directive for system providers	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	90	Conditions that increase money multiplier in economy	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2020	Prelims GS-I	57	RBI expansionist monetary policy instruments and actions	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2021	Prelims GS-I	1	RBI Governor appointment and constitutional powers	Objective question; official key unavailable locally	Monetary-policy specialist plus statutory-not-constitutional regulator classification; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2021	Prelims GS-I	11	Money multiplier and reserve ratios in banking	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2021	Prelims GS-I	15	Central bank lender of last resort function	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2022	Prelims GS-I	3	RBI monetary policy tools and rupee management	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2022	Prelims GS-I	68	Institution responsible for price stability and inflation control	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2023	Prelims GS-I	22	Central banks interest rate hikes post-pandemic monetary policy	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2023	Prelims GS-I	24	RBI sterilization and Open Market Operations role	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Legal tender money definition and characteristics
- Government and RBI measures to prevent rupee depreciation
- RBI payment data storage directive for system providers
- Conditions that increase money multiplier in economy
- RBI expansionist monetary policy instruments and actions

- RBI Governor appointment and constitutional powers
- Money multiplier and reserve ratios in banking
- Central bank lender of last resort function
- RBI monetary policy tools and rupee management
- Institution responsible for price stability and inflation control
- Central banks interest rate hikes post-pandemic monetary policy
- RBI sterilization and Open Market Operations role

> The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

10. PYQ-based analytical application

- ANALYSIS: 2025 Prelims tested RBI income sources: government securities and foreign-currency

operations.

- ANALYSIS: 2024 Prelims tested that NBFCs do not broadly enjoy direct LAF access.
- FACT: **2026 Prelims Q2 (official provisional key):** Hilton-Young

Commission, fixed rupee-sterling rate, British remittances and external creditworthiness. Keep the provisional label; see `../README.md`.

ORIGINAL MAINS 1 - 10 MARKS

Question: Why is liquidity management necessary after an MPC repo-rate decision? Answer in about 150 words.

Model thesis: Claim: Repo-rate signal. **Named evidence/example:** The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Standing Deposit Facility. **Named evidence/example:** The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** WACR operating target. **Named evidence/example:** The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection.
- The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022.
- The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct.

Qualified conclusion: Claim: Repo-rate signal. **Named evidence/example:** The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Standing Deposit Facility. **Named evidence/example:** The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** WACR operating target. **Named evidence/example:** The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “Why is liquidity management necessary after an MPC repo-rate decision? Answer in about 150…”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Repo-rate signal. **Named evidence/example:** The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Standing Deposit Facility. **Named evidence/example:** The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** WACR operating target. **Named evidence/example:** The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Repo-rate signal. **Named evidence/example:** The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Standing Deposit Facility. **Named evidence/example:** The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** WACR operating target. **Named evidence/example:** The weighted average call rate is the operating target that RBI liquidity operations seek to align with the policy corridor; the policy target, repo rate and operating target are distinct. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Why is liquidity management necessary after an MPC repo-rate decision? Answer in about 150…”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 2 - 10 MARKS

Question: Distinguish repo, SDF, MSF, CRR and OMO. Answer in about 150 words.

Model thesis: Claim: Repo-rate signal. **Named evidence/example:** The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Standing Deposit Facility. **Named evidence/example:** The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Marginal Standing Facility. **Named evidence/example:** MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Cash Reserve Ratio. **Named evidence/example:** CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Open Market Operations. **Named evidence/example:** OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection.
- The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022.
- MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations.
- CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds.
- OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions.

Qualified conclusion: Claim: Repo-rate signal. **Named evidence/example:** The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Standing Deposit Facility. **Named evidence/example:** The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Marginal Standing Facility. **Named evidence/example:** MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Cash Reserve Ratio. **Named evidence/example:** CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Open Market Operations. **Named evidence/example:** OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “Distinguish repo, SDF, MSF, CRR and OMO. Answer in about 150 words.”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Repo-rate signal. **Named evidence/example:** The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Standing Deposit Facility. **Named evidence/example:** The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Marginal Standing Facility. **Named evidence/example:** MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Cash Reserve Ratio. **Named evidence/example:** CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Open Market Operations. **Named evidence/example:** OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Repo-rate signal. **Named evidence/example:** The repo rate is the policy rate for collateralised liquidity from RBI under the operating framework; a repo-rate decision signals stance but is not identical to every liquidity injection. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Standing Deposit Facility. **Named evidence/example:** The SDF is an uncollateralised RBI facility for absorbing surplus liquidity and has served as the floor-side standing facility since its introduction in 2022. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Marginal Standing Facility. **Named evidence/example:** MSF is an overnight backstop borrowing window for scheduled commercial banks against eligible securities; its counterparty and emergency role differ from ordinary repo operations. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Cash Reserve Ratio. **Named evidence/example:** CRR is the share of net demand and time liabilities maintained as cash with RBI, broadly impounding bank resources and affecting lendable funds. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Open Market Operations. **Named evidence/example:** OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Distinguish repo, SDF, MSF, CRR and OMO. Answer in about 150 words.”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 3 - 15 MARKS

Question: Explain India's monetary-policy transmission chain and its frictions. Answer in about 250 words.

Model thesis: Claim: Transmission chain. **Named evidence/example:** MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Uneven pass-through. **Named evidence/example:** Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** OMO and yield conditions. **Named**

evidence/example: OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags.
- Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ.
- OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance.

Qualified conclusion: Claim: Transmission chain. **Named evidence/example:** MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Uneven pass-through. **Named evidence/example:** Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** OMO and yield conditions. **Named evidence/example:** OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **explain** requires a direct position on “Explain India's monetary-policy transmission chain and its frictions. Answer in about 250…”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Transmission chain. **Named evidence/example:** MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Uneven pass-through. **Named evidence/example:** Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** OMO and yield conditions. **Named evidence/example:** OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Transmission chain. **Named evidence/example:** MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Uneven pass-through. **Named evidence/example:** Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** OMO and yield conditions. **Named evidence/example:** OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Explain India's monetary-policy transmission chain and its frictions. Answer in about 250…”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 4 - 15 MARKS

Question: Assess the role of OMOs and sterilisation in liquidity and external management. Answer in about 250 words.

Model thesis: Claim: Open Market Operations. **Named evidence/example:** OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Forex intervention and sterilisation. **Named evidence/example:** RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** OMO and yield conditions. **Named evidence/example:** OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions.
- RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise.
- OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance.

Qualified conclusion: Claim: Open Market Operations. **Named evidence/example:** OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Forex intervention and sterilisation. **Named evidence/example:** RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** OMO and yield conditions. **Named evidence/example:** OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **assess** requires a direct position on “Assess the role of OMOs and sterilisation in liquidity and external management. Answer in…”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Open Market Operations. **Named evidence/example:** OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Forex intervention and sterilisation. **Named evidence/example:** RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** OMO and yield conditions. **Named evidence/example:** OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Open Market Operations. **Named evidence/example:** OMO purchases or sales are outright transactions in government securities that add or absorb durable liquidity and can influence yields beyond overnight cash conditions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Forex intervention and sterilisation. **Named evidence/example:** RBI may sell or buy foreign exchange to smooth excessive rupee volatility and offset the domestic-liquidity effect through OMOs or absorption operations; sterilisation does not imply a fixed exchange-rate promise. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** OMO and yield conditions. **Named evidence/example:** OMO affects durable liquidity and the government-securities yield curve, but its effect depends on market expectations, the fiscal borrowing environment and the broader monetary stance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Assess the role of OMOs and sterilisation in liquidity and external management. Answer in…", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 5 - 20 MARKS

Question: Critically evaluate India's flexible inflation-targeting and MPC framework. Answer in about 300 words.

Model thesis: Claim: Monetary Policy Committee. **Named evidence/example:** The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Flexible inflation targeting. **Named evidence/example:** India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Transmission chain. **Named evidence/example:** MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Uneven pass-through. **Named evidence/example:** Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate.
- India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth.
- MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags.
- Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ.

Qualified conclusion: Claim: Monetary Policy Committee. **Named evidence/example:** The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Flexible inflation targeting. **Named evidence/example:** India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Transmission chain. **Named evidence/example:** MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Uneven pass-through. **Named evidence/example:** Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **evaluate** requires a direct position on “Critically evaluate India's flexible inflation-targeting and MPC framework. Answer in about…”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Monetary Policy Committee. **Named evidence/example:** The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Flexible inflation targeting. **Named evidence/example:** India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Transmission chain. **Named evidence/example:** MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Uneven pass-through. **Named evidence/example:** Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

2. **Claim and named evidence:** India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Monetary Policy Committee. **Named evidence/example:** The six-member MPC consists of the RBI Governor, the monetary-policy Deputy Governor, one RBI-nominated officer and three external members appointed by the Central Government, and decides the policy repo rate. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Flexible inflation targeting. **Named evidence/example:** India's framework uses headline CPI as the nominal anchor with a 4 per cent target and a tolerance band of plus or minus 2 percentage points while considering growth. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Transmission chain. **Named evidence/example:** MPC communication and the repo signal influence money-market rates, bank funding and deposit rates, lending rates, bond yields, credit, demand, output and inflation with lags. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Uneven pass-through. **Named evidence/example:** Post-pandemic repo increases passed relatively quickly into external-benchmark-linked lending rates and more gradually into deposit rates and legacy loans because funding mix, competition and balance-sheet strength differ. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Critically evaluate India's flexible inflation-targeting and MPC framework. Answer in about…”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 6 - 20 MARKS

Question: Analyse RBI's monetary, liquidity, currency and payment functions with their legal boundaries. Answer in about 300 words.

Model thesis: Claim: Statutory RBI status. **Named evidence/example:** RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Legal tender and RBI liabilities. **Named evidence/example:** Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** RBI income sources. **Named evidence/example:** RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Payment-data direction. **Named evidence/example:** RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Committee-institution pairs. **Named evidence/example:** The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions.
- Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income.
- RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions.
- RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law.
- The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility.

Qualified conclusion: Claim: Statutory RBI status. **Named evidence/example:** RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Legal tender and RBI liabilities. **Named evidence/example:** Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** RBI income sources. **Named evidence/example:** RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Payment-data direction. **Named evidence/example:** RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Committee-institution pairs. **Named evidence/example:** The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **analyse** requires a direct position on “Analyse RBI's monetary, liquidity, currency and payment functions with their legal…”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Statutory RBI status. **Named evidence/example:** RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Legal tender and RBI liabilities. **Named evidence/example:** Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** RBI income sources. **Named evidence/example:** RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Payment-data direction. **Named evidence/example:** RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Committee-institution pairs. **Named evidence/example:** The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

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Qualified conclusion: Claim: Statutory RBI status. **Named evidence/example:** RBI is a statutory body under the RBI Act, not a constitutional body; the Governor is appointed by the Central Government and RBI performs monetary, currency, banking, reserve and payment functions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Legal tender and RBI liabilities. **Named evidence/example:** Legal tender must be accepted in settlement within the legal framework, and Indian currency notes issued are liabilities on RBI's balance sheet rather than RBI income. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** RBI income sources. **Named evidence/example:** RBI income can arise from interest on government securities and foreign-currency assets, liquidity operations or lending to banks, and fees or commissions from banking and market functions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Payment-data direction. **Named evidence/example:** RBI required payment-system data relating to systems operated in India to be stored in India for supervisory access; this is a regulated payments direction, not a universal data-localisation law. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Committee-institution pairs. **Named evidence/example:** The Hilton-Young Commission concerns colonial currency and central-banking reform, Narasimham Committees concern Government of India banking reform, and the Tarapore Committee concerns RBI work on capital-account convertibility. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Analyse RBI's monetary, liquidity, currency and payment functions with their legal…”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.